In addition, the public dissemination requirement in paragraph (iii)(B) of Rule 614(d)(9) contains a simplified framework when compared to Rule 1002(c) of Regulation SCI[1305] and only applies to systems disruptions. The Commission believes that this streamlined approach is appropriate to limit burdens for these competing consolidators (as compared to the parallel requirements for SCI competing consolidators), and the Commission believes that the new requirements for competing consolidators described above that will require public disclosure of metrics and other information—such as information on system availability, network delay statistics, data quality, and systems issues—help to achieve some of the same goals of public transparency and help to ensure the resiliency of competing consolidators' systems as the information dissemination provisions of Regulation SCI.[1306] Similar to Regulation SCI's requirements for systems disruptions, paragraph (iii)(B) of Rule 614(d)(9) includes a provision that exempts information dissemination for a "system disruption that has had, or the competing consolidator reasonably estimates would have, no or a de minimis impact on the competing consolidator's operations or on market participants."

Concurrent with public dissemination of information relating to a systems disruption, competing consolidators will also be required to provide the Commission notification of such event, including the information required to be publicly disseminated.[1307] In addition, competing

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1305 For example, paragraph (iii)(B) of Rule 614(d)(9) requires only "an assessment of those potentially affected" by an event, while Rule 1002(c) of Regulation SCI requires an SCI entity's "current assessment of the types and number of market participants potentially affected by" an event.

1306 See Proposing Release, 85 FR at 16777, 16781, 16783–84 (explaining that the required information on Form CC and published performance metrics will help the Commission and market participants to evaluate the resiliency and technological reliability of a competing consolidator's systems); see also supra Sections III.C.7(c) and (d).

1307 See 17 CFR 242.614(d)(9)(iii)(C) (Rule 614(d)(9)(iii)(C)) of Regulation NMS.

consolidators will be required to notify the Commission promptly upon responsible personnel having a reasonable basis to conclude that a systems intrusion (other than a system intrusion that has had, or the competing consolidator reasonably estimates would have, no or a de minimis impact on the competing consolidator's operations or on market participants) has occurred. Notifications regarding systems disruptions and systems intrusions that competing consolidators must provide to the Commission under this provision include information relating to the event (including the system(s) affected and a summary description); when known, additional information relating to the event (including a detailed description, an assessment of those potentially affected, a description of the progress of corrective action and when the event has been or is expected to be resolved); and until resolved, regular updates with respect to such information. This is the same information that paragraph (iii)(B) of Rule 614(d)(9) will require competing consolidators to disseminate publicly for systems disruptions.[1308] Paragraph (iii)(C) of Rule 614(d)(9) does not require competing consolidators to adhere to the detailed framework for notifying the Commission of SCI events under Regulation SCI.[1309] Rather, the rule requires competing consolidators to provide, concurrent with public dissemination of information relating to a systems disruption, or promptly upon responsible personnel having a reasonable basis to

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[1308] Rule 614(d)(9)(iii)(B) does not require competing consolidators to publicly disseminate information relating to systems intrusions. However, Rule 614(d)(9)(iii)(C) requires information relating to a system intrusion to be filed with the Commission on Form CC, which will be publicly available, though competing consolidators may seek confidential treatment for such information. See supra note 1052 and accompanying text.

[1309] Regulation SCI contains a detailed framework that SCI entities must follow to notify the Commission about SCI events, including prescribed timelines to provide the Commission with initial report, updates, and final reports regarding SCI events. See 17 CFR 242.1002 (Rule 1002 of Regulation SCI).

conclude that a non-de minimis systems intrusion has occurred, the Commission notification of such event and, until resolved, updates of such event.

The Commission believes that this streamlined Commission notification requirement via Form CC, in combination with other requirements for competing consolidators that require disclosure of other information on Form CC and through performance metrics,[1310] help to achieve the goal of keeping the Commission informed of the nature and frequency of issues that occur affecting the systems of competing consolidators that are not SCI entities.[1311]

Unlike the information that is filed with the Commission on Form SCI, which is treated as confidential subject to applicable law, Form CC, including any information about systems disruption and systems intrusions, will be publicly available. The Commission recognizes that information regarding systems intrusions may be sensitive, and making such information publicly available could compromise the security of the systems or an investigation into the systems intrusion. Because Rule 614(d)(9) does not otherwise require public dissemination of such events, Form CC will permit competing consolidators to seek confidential treatment of Commission notifications related to systems intrusions. Unlike Rule 614(d)(9), Regulation SCI requires public dissemination of information relating to systems intrusions. However, the Commission similarly recognized the potentially sensitive nature of information relating to systems intrusions and provided a limited exception allowing SCI entities to delay dissemination

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1310 See supra Sections III.C.7(c) and (d).

1311 As stated in the Proposing Release and discussed above, the requirements to provide information on Form CC and publish performance metrics are designed to facilitate the Commission's oversight of competing consolidators and help ensure the resiliency and technological reliability of a competing consolidator's systems. See Proposing Release, 85 FR at 16777, 16781, 16783–84; see also supra Sections III.C.7(c) and (d).

of any information about a systems intrusion if dissemination would compromise the security of SCI systems or an investigation into the systems intrusion.[1312]

17 CFR 242.614(d)(9)(iv) (Rule 614(d)(9)(iv)) will require competing consolidators to participate in the industry- or sector-wide coordinated testing of BC/DR plans required of SCI entities pursuant to paragraph (c) of 17 CFR 242.1004 (Rule 1004) of Regulation SCI.[1313] 17 CFR 242.1004(c) (Rule 1004(c)) of Regulation SCI relates to the coordination of BC/DR testing required by Rule 1004 of Regulation SCI on an industry- or sector-wide basis with other SCI entities.[1314] Because the consolidated market data, in total, provided by competing consolidators is essential to testing the systems of SCI entities, and because the SCI entities and their members or participants who are designated to participate in the testing required by Rule 1004 of Regulation SCI may rely on different competing consolidators to supply consolidated market data products, the Commission believes that it is appropriate that all competing consolidators be required to participate in the industry- or sector-wide testing required by paragraph (c) or Rule 1004 of Regulation SCI.

Finally, the Commission proposed certain changes to Rule 1000 of Regulation SCI's definition of "critical SCI system."[1315] These changes are being adopted as proposed. First, the Commission proposed to revise the phrase "the provision of consolidated market data" in subparagraph (1)(v) of the definition of "critical SCI systems" to "the provision of market data

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1312 See 17 CFR 242.1002(c)(2) (Rule 1002(c)(2)) of Regulation SCI; SCI Adopting Release at 72334.

1313 See Rule 614(d)(9)(iv) of Regulation NMS.

1314 See SCI Adopting Release at 72354–55 (discussing Rule 1004(c) of Regulation SCI).

1315 See Proposing Release, 85 FR at 16786–87.

by a plan processor." In addition, to avoid confusion with the term "consolidated market data," that phrase was replaced with "market data" in the definition of "critical SCI systems." The Commission did not receive any comment on the proposed revisions to the definition of "critical SCI system" and is adopting these changes to such definition as proposed for the reasons set forth in the proposal.[1316]

G. Effects on the National Market System Plan Governing the Consolidated Audit Trail

In the Proposing Release, the Commission described the anticipated effect on the CAT NMS Plan. Specifically, the CAT NMS Plan requires the Central Repository[1317] to "collect (from a SIP[1318] or pursuant to an NMS Plan[1319]) and retain on a current and continuing basis … all data, including the following (collectively, 'SIP Data')."[1320] Because consolidated market

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1316 But see supra notes 1272–1278 and accompanying text (discussing commenters concerns that competing consolidators would not have critical SCI systems under Regulation SCI, unlike plan processors today).

1317 The CAT NMS Plan defines "Central Repository" as "the repository responsible for the receipt, consolidation, and retention of all information reported to the CAT pursuant to SEC Rule 613 and this Agreement." CAT NMS Plan, supra note 1220, at Section 1.1.

1318 The CAT NMS Plan defines "Securities Information Processor" or "SIP" as having "the same meaning provided in Section 3(a)(22)(A) of the Exchange Act." Id. at Section 1.1.

1319 The CAT NMS Plan defines "NMS Plan" as having "the same meaning as 'National Market System Plan' provided in SEC Rule 613(a)(1) and SEC Rule 600(b)(43)." Id. at Section 1.1.

1320 Id. at Section 6.5(a)(ii). Section 6.5(a)(ii) specifically enumerates the following "SIP Data" elements: "(A) information, including the size and quote condition, on quotes including the National Best Bid and National Best Offer for each NMS Security; (B) Last Sale Reports and transaction reports reported pursuant to an effective transaction reporting plan filed with the SEC pursuant to, and meeting the requirements of, SEC Rules 601 and 608; (C) trading halts, Limit Up/Limit Down price bands, and Limit Up/Limit Down indicators; and (D) summary data or reports described in the specifications for each of the SIPs and disseminated by the respective SIP." Id.

data includes information beyond what is provided in SIP data—such as orders in new round lot sizes, depth of book data, and auction information—the scope of the consolidated market data collected and retained by the Central Repository would increase. In addition, the Central Repository may have to collect the data from a different source.

The Commission received four comments on the effect of the decentralized consolidation model on the CAT NMS Plan.[1321] One commenter stated that significant changes to the content or source of data collected by CAT, such as those proposed, could impact the CAT implementation timeline, especially if the changes occur while CAT implementation is still in progress.[1322] Therefore, the commenter recommended that the expanded content in consolidated market data and the decentralized consolidation model be implemented after CAT has been fully implemented.[1323] Another commenter suggested that the Commission review the choice of competing consolidator as the Central Repository's source of consolidated market data.[1324]

Additionally, in response to a question raised by the Commission in the Proposing Release asking whether CAT should receive consolidated market data from one, all, or a subset of competing consolidators,[1325] one commenter noted its preliminary belief that the Central Repository should receive only consolidated market data from one competing consolidator with a connection to an additional competing consolidator as a back-up source of data in the event of a

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1321 See FINRA Letter at 11; TD Ameritrade Letter at 15; Fidelity Letter at 11; Data Boiler Letter I at 64–65.

1322 See FINRA Letter at 12.

1323 See id.

1324 Fidelity Letter at 11.

1325 See Proposing Release, 85 FR at 16794.

systems disruption at the selected competing consolidator.[1326] The commenter also stated that whether CAT uses a single or multiple competing consolidators would raise concerns about increased complexity.[1327] Another commenter expressed concern about conflicting data produced by competing consolidators. Assuming CAT takes in data from every competing consolidator, the commenter asked how CAT would handle conflicting data it received from the competing consolidators and how industry participants would be expected to respond to such conflicting data.[1328]

The Commission does not believe that implementation of the amendments discussed herein should be delayed until CAT has been fully implemented. The systems used by the Central Repository must be adaptable to permit incorporation of improved technologies, additional order data, and changes in regulatory requirements;[1329] therefore, the Central

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1326 See FINRA Letter at 12.

1327 See id. at n.50.

1328 TD Ameritrade at 15. Finally, another commenter suggested that instead of receiving data from competing consolidators, CAT should directly access the "real-time analytical platform" of SROs and competing consolidators in order to analyze and monitor trading in real-time, stating that "CAT's 'T+5 Regulatory Access' is too late...." Data Boiler Letter I at 64. As described above, Section 6.5(a)(ii) of the CAT NMS Plan requires the Central Repository to collect (from a SIP or pursuant to a NMS plan) all data, including SIP data. This requires the Central Repository to collect consolidated data, not individual SRO feeds for the Central Repository to consolidate. Therefore, the Commission believes this comment is beyond the scope of the present rulemaking.

1329 17 CFR 242.613(a)(1)(v) (Rule 613(a)(1)(v)) provides that the CAT NMS Plan must include "the flexibility and scalability of the systems used by the central repository to collect, consolidate, and store consolidated audit trail data, including the capacity of the consolidated audit trail to efficiently incorporate, in a cost effective manner, improvements in technology, additional capacity, additional order data, information about additional securities or transactions, changes in regulatory requirements, and other developments." See also CAT NMS Plan, supra note 1220, at Appendix D, Section 1.1. (stating "The Central Repository must be designed and sized to ingest, process, and store large volumes of data. The technical infrastructure needs to be scalable, adaptable to new requirements and operable within a rigorous processing and control environment.").

Repository should be capable of incorporating the changes added by the amendments discussed herein. The Commission expects the CAT NMS Plan Operating Committee to develop plans for the necessary changes to the Central Repository. As discussed in the following section, there will be a transition period for switching from the exclusive SIPs to the decentralized consolidation model. During this time, the CAT NMS Plan Operating Committee can integrate the necessary changes into the Central Repository requirements in a manner consistent with its change management policies.

With respect to the comment stating that the Central Repository should only receive consolidated market data from a single competing consolidator, with a connection to a back-up competing consolidator in the event of a systems disruption, and the comment asking how CAT would reconcile conflicting data across all of the competing consolidators, the Commission is not requiring the Central Repository to subscribe to multiple competing consolidators. Whether CAT uses a single competing consolidator or multiple competing consolidators to receive all of consolidated market data is a choice that should be made by the CAT NMS Plan Operating Committee in its management of CAT in order to comply with its obligations under the CAT NMS Plan.[1330] In addition, the CAT NMS Plan Operating Committee has the experience and is well positioned to determine the best and most reliable sources of data while at the same time minimizing any costs that may be associated with multiple sources. In response to the commenter suggesting that the Commission review the Operating Committee's selection of a competing consolidator for the Central Repository, the CAT NMS Plan Operating Committee will have to select a competing consolidator that would allow it to comply with its obligations under the CAT NMS Plan, which is subject to Commission oversight.

[1330] See CAT NMS Plan, supra note 1220, at Article IV.

Notwithstanding the modification to allow competing consolidators to develop consolidated market data products that may not contain all elements of consolidated market data, the Commission believes that because Section 6.5(a)(ii) of the CAT NMS Plan requires the Central Repository to collect and retain "all data" from "a SIP or pursuant to an NMS Plan," the Central Repository will be required to collect and retain all elements of consolidated market data. In the Proposing Release, the Commission stated that "the Central Repository would be required to collect and retain consolidated market data" and that "the scope of the consolidated data collected and retained by the CAT Central Repository would be expanded" as a result of the proposed amendments.[1331] The requirement in Section 6.5(a)(ii) that the Central Repository collect and retain "all data" from "a SIP or pursuant to an NMS Plan" requires the Central Repository to collect and retain all elements of consolidated market data. Moreover, the Commission is not reducing the scope of information that is required to be collected and retained by the Central Repository. Therefore, the Central Repository must continue to collect and retain "all data" that it currently collects and retains, such as information regarding quotations and transactions in OTC equity securities that it collects pursuant to the Nasdaq UTP Plan.[1332]

1331 Proposing Release, 85 FR at 16794.

1332 See supra Section II.C.2(c). Data about OTC equity securities is not included in consolidated market data. Therefore, as stated in the Proposing Release, the Central Repository may have to obtain this data from a different source. Proposing Release, 85 FR at 16794.

H. Transition Period and Compliance Dates

1. Proposal

In the Proposing Release, the Commission stated that a transition period would be necessary to implement the decentralized consolidation model. The Commission described the following things that would have to occur to implement the decentralized consolidation model: (1) the SROs may need development time to create new separate data feeds for consolidated market data;[1333] (2) the SROs would need to make adjustments to their data collection and processing systems to integrate regulatory data into their new or existing data feeds; (3) firms intending to act as competing consolidators or self-aggregators would need time to register, develop or modify systems, establish pricing, and make other preparations; and (4) market participants would need some period of time for implementation and testing of any new data feeds, and would need a consistent and reliable source of consolidated market data as these changes are being implemented. The Commission stated that, during the transition period, the exclusive SIPs should continue their operations until such time as the Commission considers and approves an effective national market system plan amendment that would effectuate a cessation of their operations as exclusive SIPs.

The Commission stated that to approve this plan amendment, the Commission would need to consider the operational readiness of competing consolidators and self-aggregators and that sufficient operational readiness would only be achieved once consolidated market data generated under the decentralized consolidation model is demonstrably capable of supporting the various needs of users of consolidated market data, including needs for visual display, trading

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[1333] The Proposing Release described how the SROs may use existing proprietary data feeds to provide consolidated market data but that they also may decide to develop new dedicated data feeds.